

JPM | APAC THEMATICS - Constructive macro: Upside to growth and downside to inflation / Tech Strategy: Gokul's case to buy the dip / APAC Strategy: Implications of the JPY / Aus Strategy: Views into earnings

Matthew See
+852 2800 8889
matthew.see@jpmorgan.com

APAC Thematics focuses on key macro views, market debates, and favoured investment themes.

THE BIG PICTURE: Risk on backdrop remains. Equity markets continued their recovery from the July unwind... the S&P +1.8% overnight. On the macro side, we remain constructive - our economists flag upside risks to growth and downside risks to inflation in 2H. On the latter, oil prices are now -20% from late July highs, and Bessent flags we could have a deal to reopen the Strait within 1-2 days.

On tech, Gokul is still bullish & recommends buying-the-dip. The recent pullback is the third >20% drawdown this upcycle, & Gokul thinks its just another drawdown - not the end of the cycle. Gokul argues AI scaling laws are still alive, token demand for AI inference is very strong, and profitability is improving. He sees further positive EPS revisions ahead, and recommends buying-the-dip.

Our strategists are not concerned by moves in the JPY. In Japan, Nishihara-san argues JPY stabilisation with modest upside is a positive for Japan equities despite a small hit to EPS, as it increases the appeal of JP equities for overseas investors and helps lift domestic real incomes. On AxJ, the lack of any regime change means JPY gains will likely be contained - so macro spillovers should be limited.

From the franchise... (i) Australia strategist Jason Steed previews earnings - the Feb earnings season saw record results-day volatility so Jason surveys our analysts to see where they have conviction on beats vs misses in Aug, (ii) ASEAN strategist Khoi Vu has upgraded Thailand to Neutral, arguing political stability lays the foundation for an uplift in investment.

THE BIG PICTURE...

(1) Equity markets ... Oil and yields decline, S&P +1.8% and Nasdaq +2.6%. The macro backdrop was constructive with crude prices -5% to sub \$80/bbl after Treasury Secretary Bessent said a deal with Iran to reopen the Strait of Hormuz could come "today or tomorrow". There's been a lot of conflicting headlines around the progress of talks, but the sharp decline in oil prices (-21% from late July) tells you the market is betting Trump will find a way to push through a deal given the realities of midterms and missiles - with further economic incentives for Iran likely (it's still TBC if Iran will be permitted to charge service fees alongside Oman). UST yields also eased overnight, now back at 4.62% - the level before Warsh spooked markets with his post FOMC press conference which our economists described as "troubling".

(2) Asia tech ... Gokul's 4x reasons to buy-the-dip. We are currently in the third >20% drawdown in Asian Tech stocks and the SOX since the current AI-driven upcycle started in late 22. Gokul ([link](#)) recommends to buy-the-dip, noting (i) He does not see

any fundamental indicators which signal weakness over the next 6-12 months with “AI scaling laws” still very much alive and token demand for AI inference very strong, (ii) Profitability across the AI ecosystem is improving with hardware vendors, cloud providers and AI labs all seeing improved unit economics, (iii) Hyperscaler capex growth in 2027 should be another strong year, & (iv) Usual indicators of cycle peaks such as inventory build, a slowdown in demand growth, or a catch-up in supply... aren’t flashing yellow.

(3) Tech earnings... Discounting EPS cuts we don’t expect. Gokul believes Asian tech stocks are now pricing in an imminent EPS cut... but we don’t see this in 2H26 or early 2027. In fact, we expect the opposite - EPS upgrades to continue, revision breadth to broaden, and hyperscaler capex indicators for 27 to continue trending higher (with SpaceX likely emerging as a major spender in addition to the traditional big CSPs). As a result... Gokul recommends using the 25-30% correction to buy Asia tech... with key picks = TSMC, MediaTek, Unimicron, Ibiden, Tokyo Electron, ASMPT, Aspeed, AMEC, Naura, Hon Precision, Chroma, Accton and Delta. Memory, however, is a sub-segment where the narrative has become more muddled due to concerns about demand destruction due to high prices (in AI chips) even though S/D fundamentals remain solid.

(4) Japan strategy... The positive impact of JPY stabilization. If coordinated intervention continues, Nishihara-san ([link](#)) estimates the average JPY rate will fall from 162/\$ to 155/\$, the yen strengthening by 4%. We expect this yen appreciation will have a negative 3.5% impact on TOPIX EPS - and note that Japan's earnings sensitivity to rates has lessened in recent years. Beyond the immediate impact on EPS forecasts, Nishihara-san makes the case that a stabilizing JPY is positive for Japanese equities given (i) The continued depreciation of the JPY having been a lingering negative overhang for foreign buyers, & (ii) Lower inflation pressures will help support real wages. Ultimately though... the underlying issue remains that BoJ rates in Japan remain too low, and their pathway remains higher. Our view on Japan banks remains = buy-any-dip.

(5) Asia strategy view... Limited JPY spillovers. JPM’s house view is that the JPY rebound will not sustain, as FX interventions of this sort rarely have a lasting impact unless accompanied by policy change. This is inline with comments from Bessent overnight who noted the aim is for a “stable yen” (as further yen weakness could pressure other Asian currencies to devalue), but interventions only curb volatility short-term, and the long-term level is a function of policy. In terms of the spillover impact on AxJ, strategist Rajiv ([link](#)) notes the near-term JPY volatility doesn’t alter his constructive view - driven by a combination of AI capex and adoption, security & resilience spending, improving governance standards, and a net supportive global macro environment with resilient growth & tapering inflation.

JPY BORROWINGS: We see limited negative macro spillovers from yen stabilization, but it's a negative for those with borrowings in JPY.

Figure 20: Asian corporates with borrowings in JPY

Ticker	Name	Sector	Market	Market cap (USD mn)	Total JPY borrowings (JPY bn)	Bonds (JPY bn)	Loan (JPY bn)
NTPC IN	NTPC Ltd	Utilities	India	35,708	408	0	408
TRUE TB	True Corp PCL	Telecommunication Services	Thailand	14,405	337	0	337
RELIANCE IN	Reliance Industries Ltd	Energy	India	187,317	320	0	320
RECL IN	REC Ltd	Financial Services	India	10,172	228	61	167
IRFC IN	Indian Railway Finance Corp Lt	Financial Services	India	12,377	184	0	184
SBIN IN	State Bank of India	Banks	India	101,225	160	0	160
HUDCO IN	Housing & Urban Development Co	Financial Services	India	4,189	140	0	140
SMC PM	San Miguel Corp	Capital Goods	Philippines	2,574	123	0	123
FPL SP	Fraser's Property Ltd	Real Estate Management & I	Singapore	3,246	119	0	119
OLG SP	Olam Group Ltd	Consumer Staples Distributio	Singapore	4,118	114	0	114
JSTL IN	JSW Steel Ltd	Materials	India	33,164	95	0	95
POWF IN	Power Finance Corp Ltd	Financial Services	India	14,597	86	0	86
CPN TB	Central Pattana PCL	Real Estate Management & I	Thailand	9,288	74	0	74
GUNKUL TB	Gunkul Engineering PCL	Utilities	Thailand	1,345	71	0	71
003490 KS	Korean Air Lines Co Ltd	Transportation	South Korea	6,759	60	60	0
AC PM	Ayala Corp	Capital Goods	Philippines	5,230	59	0	59
IREDA IN	Indian Renewable Energy Develo	Financial Services	India	3,626	56	0	56
PWGR IN	Power Grid Corp of India Ltd	Utilities	India	28,011	56	0	56
PGAS U	Perusahaan Gas Negara Persero	Utilities	Indonesia	2,036	54	0	54
PTT TB	PTT PCL	Energy	Thailand	32,708	46	0	46
IOI MK	IOI Corp Bhd	Food, Beverage & Tobacco	Malaysia	6,737	42	0	42
GLO PM	Globe Telecom Inc	Telecommunication Services	Philippines	4,315	40	0	40
MAY MK	Malayan Banking Bhd	Banks	Malaysia	32,015	40	40	0

Source: Bloomberg Finance L.P., J.P. Morgan Equity Macro Research.

Market Commentary:

US OVERNIGHT - S&P +1.8% to record highs, Semis rebound with SOX +6.6%. US equity markets pushed higher as US/Iran deal chatter gained traction, with investors leaning into the idea a Hormuz reopening would tame inflation and take pressure off the Fed. Tech, Materials & Financials led, while Utilities, Energy & Consumer lagged. Yields fell, the 2y -5bps to 4.19% and the 10y -7bps to 4.61% as rates followed oil lower. Gold caught a bid on the combination of lower yields and deal optimism. In single stocks, the earnings tape did the heavy lifting: Palantir +30% on “otherworldly” demand and raised their full year revenue & income guidance, Snap +14% on a their better quarter and upbeat outlook, Whirlpool +14% on better 2H guidance, CoreWeave +7% on their Asia expansion plans, and Caterpillar +6% rebounded on strong sales and a higher outlook. Also saw gains in Coherent +12% and Lumentum on press reports of a potential ban on China imports (more below). On the flip side, AMD was up sharply in regular trading but fell 9% after-market as forward commentary disappointed.

US GEOPOLITICS - Trump administration... drafting a ban on China data center devices. Press reports indicate the US govt is drafting an FCC rule to ban imports of new Chinese optical transceivers for data centers. The move aims to reduce vulnerabilities such as data theft, malware and service disruption at the hands of foreign suppliers. The move doesn't come as a total surprise given (i) America's broader push to secure critical US tech supply chains, and (ii) The DoD recently added leading Chinese TRx suppliers Innolight and Eoptolink to an updated 1260H list. This move targets companies like Innolight (27% global share), and would force US hyperscalers to shift to domestic suppliers like Coherent and Lumentum - analyst Joseph Cardoso sees this creating a \$10bn opportunity for domestic suppliers ([link](#)).

Themes & Macro:

AUSTRALIA STRATEGY - Once more unto the breach... get ready for earnings (Jason Steed). February earnings set a new record for on-day volatility... so anticipation is high for another wild ride through August. The sharp decline in trading velocity over recent years has left the Aussie market uniquely vulnerable to extreme share price moves during results season. With the 'active' share of company registers shrinking and a growing proportion of investors sensitive to short-term earnings momentum, it's little wonder we now see share price gyrations once reserved for severe market dislocations (e.g. GFC, COVID). In his latest note, Jason surveys our research team for companies they believe will miss or beat, and shares 30 names where they have conviction (20 misses vs 10 beats). We note earnings revisions are +8% YTD which has raised expectations coming into the print (albeit the gain has lagged vs the global surge +24% y/y ([link](#))).

THAI STRATEGY - Year of investment takes stage... upgrade to Neutral (Khoi Vu). We upgrade Thailand to Neutral in ASEAN. Political stability lays the foundation for increased public investment & spend that should drive a capex cycle and support domestic business confidence. In addition, foreign flows are returning... as the market offers a unique combination of (1) EPS growth recovery, (2) Sufficient liquidity, and (3) Light foreign positioning. A reversal of foreign investment to the median level the last 5 years could lead to an additional \$4bn of inflows. That said, risks remain with (1) Elevated oil prices dragging on the tourism sector and consumer sentiment, (2) Execution of policy reforms, and (3) Trade uncertainties from US tariffs. We have set a 12m base SET target at 1800, driven by a 10% earnings upgrade over the next 12 months. We upgrade the Energy to OW and downgrade Industrials to UW. Top picks = KBANK, ADVANC, TOP, DELTA, HANA, BH, and MRDIY ([link](#)).

Flagship Conferences:

INDIA CONFERENCE - 21-22 Sept, Mumbai (St Regis). JPM will host our 11th annual India Conference - featuring a high profile line-up of panelists (government and c-suite), 100 companies, and over 1000 delegates. Keynote plenaries, panel discussions and 1x1 meetings will take place on Mon 21 and Tues 22 Sept, followed by 6x thematic tours on Wed 24 to Fri 26 Sept ([register](#)).

TECH, INNOVATION & GROWTH (TIG) - 16-18 Nov, Hong Kong (Grand Hyatt). This flagship conference will bring together investors and industry leaders for two days of keynotes, panels and presentations (Nov 16–17), and 3x days of investor access meetings (Nov 16–18). We expect 300 companies and 2000 delegates to join us to discuss some of the most exciting growth opportunities in APAC ([register](#)).

APAC RETURNS - Leaders vs laggards...

Pan-APAC Thematics

Asia Thematics (pan-APAC) - Leaders vs Laggards (1 month, % in USD)						
JPM Asia Basket	Index	1M	3M	YTD	1Y	2Y
Liquid Asia Oil Refiners	JPAAOILR Index	12%	-3%	18%	35%	31%
Liquid Asia Oil Producers	JPAAOILP Index	11%	-11%	24%	32%	45%
Asia AI Vulnerables	JPAIVUL Index	10%	12%	-2%	-14%	39%
Asia AI Software	JPAISOF Index	9%	1%	-10%	-8%	40%
Asia Shipping	JPAASHIP Index	9%	7%	18%	13%	51%
Asia Consumer Electronics	JP1XACEH Index	9%	39%	43%	13%	43%
ASEAN Tariff Sensitive	JPGTTRAS Index	8%	11%	26%	16%	-7%
Asia MLCC	JPAAMLCC Index	-32%	43%	120%	167%	192%
Asia Memory	JPAAMEMO Index	-22%	27%	167%	456%	500%
Asia Silicon Carbide	JPAASICB Index	-21%	11%	46%	73%	84%
Asia Semiconductors	JPAASEMI Index	-20%	8%	79%	184%	269%
Asia CPO Photonics	JPAOPFIB Index	-18%	-17%	95%	233%	609%
Asia Apple Supply Chain	JPAAPLSC Index	-17%	1%	45%	83%	124%
Asia AI Supply Chain	JPAAGTCB Index	-16%	7%	96%	193%	323%

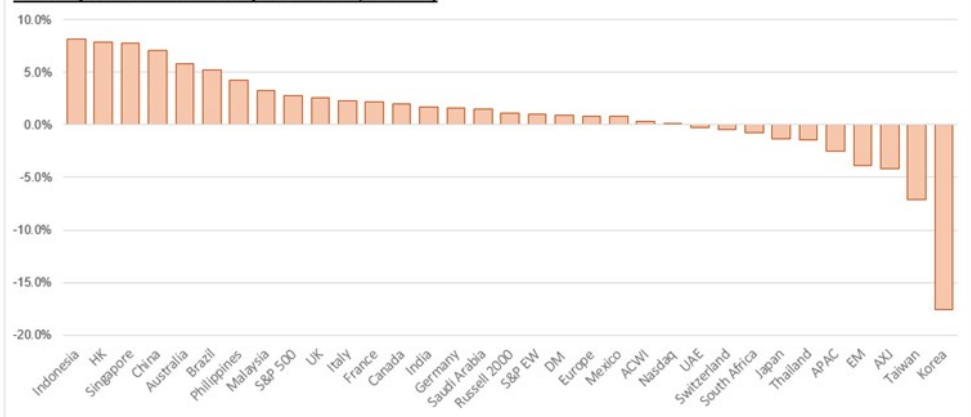
Source: Bloomberg.

Country-Specific Thematics

Asia Thematics (country-specific) - Leaders vs Laggards (1 month, % in USD)						
	Index	1M	3M	YTD	1Y	2Y
JPM Asia Basket						
China Education	JPCHEDEC Index	27%	1%	-1%	-2%	7%
China Health Care CDMO	JPCHECDMO Index	15%	20%	31%	22%	99%
Japan Shipping	JPBSHIP Index	14%	9%	29%	25%	62%
China Banks Large Cap	JPCHLCBK Index	12%	5%	18%	21%	87%
HK Banks	JPHKBNKS Index	12%	21%	33%	68%	174%
China SOE Banks	JPCBBSOE Index	12%	5%	13%	16%	82%
Japan Value L/S (i)	JPPQJVAS Index	12%	14%	-6%	-1%	-4%
China A OSAT	JPCAOSAT Index	-28%	8%	49%	100%	168%
China A Semiconductors	JPCASEMI Index	-25%	9%	53%	117%	196%
China A Quantum Computing (Q)	JPCAQCOM Index	-24%	-11%	20%	66%	209%
China CPO & Photonics	JPCACPOP Index	-24%	-12%	44%	140%	363%
China Nuclear Fusion	JPCNHFUS Index	-24%	-15%	-9%	25%	80%
China A Broader 5G Beneficiaries	JPCA5GBE Index	-23%	-2%	46%	167%	347%
China Little Giants	JPCALIGN Index	-23%	8%	35%	70%	145%

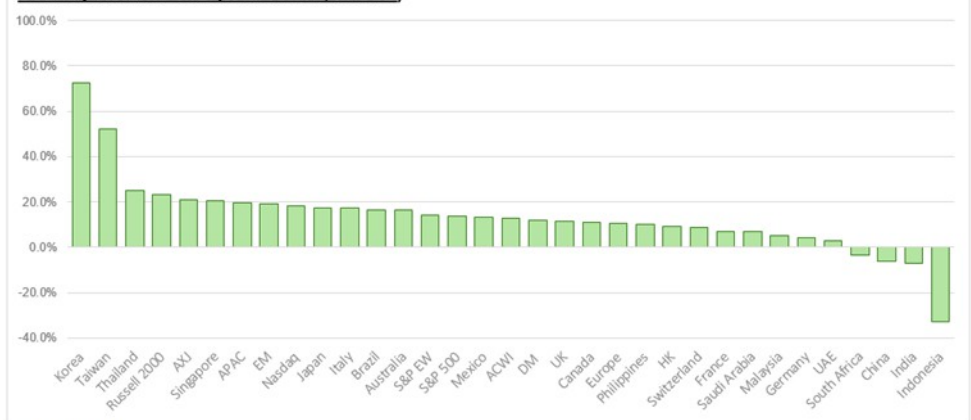
Source: Bloomberg.

Country Returns 1 month (total return, in USD)



Source: Bloomberg.

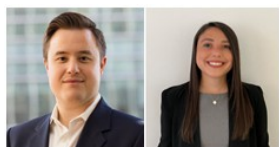
Country Returns YTD (total return, in USD)



Source: Bloomberg.

Best, Matt

J.P. Morgan - APAC Market Strategy & Macro Contacts



APAC Market Thematics Spec Sales: Matthew See / T: 852 2800 8889 / matthew.see@jpmorgan.com

US Market Thematics Spec Sales: Marissa Gitler / T: 1 212 622 2934 / marissa.gitler@jpmorgan.com

APAC Strategy (heads):

Head of AxJ, Co-Head of EM & India/ASEAN: Rajiv Batra / rajiv.j.batra@jpmorgan.com

AxJ, Korea & Taiwan: Mixo Das / mixo.das@jpmorgan.com

Japan: Rie Nishihara / rie.nishihara@jpmorgan.com

China A: Erin Zhang / erin.zhang@jpmorgan.com

Hong Kong: Tim Huang / tim.huang@jpmorgan.com

Australia: Jason Steed / jason.h.steed@jpmorgan.com

ASEAN & Vietnam: Khoi Vu / khoi.t.vu@jpmorgan.com

Philippines: Jeanette Yutan / jeanette.g.yutan@jpmorgan.com

Quantitative: Robert Smith / robert.z.smith@jpmorgan.com

Quant (Japan): Masanari Takada / masanari.takada@jpmorgan.com

Derivatives: Tony Lee / tony.sk.lee@jpmorgan.com

Index: Joanne Cheung / joanne.cy.cheung@jpmorgan.com

ESG & Thematics: Hannah Lee / hannah.l.lee@jpmorgan.com

APAC Macro (heads):

Emerging Markets: Jahangir Aziz / jahangir.x.aziz@jpmorgan.com

EM Asia & India: Sajjid Chinoy / sajjid.z.chinoy@jpmorgan.com

Japan: Ayako Fujita / ayako.fujita@jpmorgan.com

Japan: Ben Shatil / benjamin.shatil@jpmorgan.com

Greater China: Feng Zhu / feng.zhu@jpmorgan.com

Hong Kong: Tingting Ge / tingting.ge@jpmorgan.com

Korea: Seok Gil Park / seok.g.park@jpmorgan.com

Australia & NZ: Ben Jarman / ben.k.jarman@jpmorgan.com

ASEAN, Thailand & Indonesia: Charnon Boonnuch / charnon.boonnuch@jpmorgan.com

ASEAN, Philippines, Pakistan, Vietnam: Jin Tik Ngai / jintik.ngai@jpmorgan.com

Sector Research (heads):

Autos: Nick Lai / nick.yc.lai@jpmorgan.com

Banks & Fin-Services: Harsh Modi / harsh.w.modi@jpmorgan.com

Banks & Fin-Services: Katherine Lei / Katherine.lei@jpmorgan.com

Consumer: DS Kim / ds.kim@jpmorgan.com

Consumer: Latiak Chopra / latika.chopra@jpmorgan.com

Energy & Chems: Parsley Ong / parsley.rh.ong@jpmorgan.com

Healthcare: Yang Huang / yang.huang@jpmorgan.com

Industrials: Infra & Transport: Karen Li / karen.yy.li@jpmorgan.com

Insurance: MW Kim / mw.kim@jpmorgan.com

TMT: Alex Yao / alex.yao@jpmorgan.com

TMT: Gokul Hariharan / gokul.hariharan@jpmorgan.com

Telecoms: Ankur Rudra / ankur.rudra@jpmorgan.com

Country Research (heads):

APAC: James Sullivan / james.r.sullivan@jpmorgan.com
APAC: Aditya Srinath / aditya.s.srinath@jpmorgan.com
Japan: Akira Kishimoto / akira.x.kishimoto@jpmorgan.com
China: Alex Yao / alex.yao@jpmorgan.com
Hong Kong: Karen Li / karen.yy.li@jpmorgan.com
India: Sanjay Mookim / sanjan.mookim@jpmorgan.com
Taiwan: Gokul Hariharan / gokul.hariharan@jpmorgan.com
Korea: Stanley Yang / stanley.yang@jpmorgan.com
Australia: Jason Steed / jason.h.steed@jpmorgan.com
Indonesia: Benny Kurniawan / benny.kurniawan@jpmorgan.com
Thailand: Kae Pornpunnarath / kae.pornpunnarath@jpmorgan.com
Malaysia: Yen Voo / yen.voo@jpmorgan.com
Philippines: Jeanette Yutan / jeanette.g.yutan@jpmorgan.com

Matthew See | Executive Director | Market Thematic Specialist Sales | Head of APAC Specialist Sales
J.P. Morgan | Chater House, 8 Connaught Road Central, HK Island | T: +852 2800 8889 | Zoom: 919 055 7803 |
matthew.see@jpmorgan.com

JPMM Page: Click [here](#).
Alternate Contact: Brenda Wong | T: +852 2800 0249 | brenda.wong@jpmorgan.com

FOR INSTITUTIONAL & PROFESSIONAL CLIENTS ONLY – *Do not forward to any non-institutional clients. This material is from a Sales and Trading department and is not a product of the Research Department. It may include non-independent research (investment recommendations) which, for the purposes of MiFID 2 compliance (which term includes, where applicable, compliance with UK legislation which implements, amends or replaces Directive 2014/65/EU on MiFID 2), may also constitute a marketing communication. As such, this material has not been prepared in accordance with legal requirements designed to promote the independence of Investment Research, including but not limited to the prohibition on dealing ahead of the dissemination of Investment Research. It is not a product of J.P. Morgan's Research Department. It is not a research report, investment research or independent research and is not intended as such. This message is confidential and subject to terms at www.jpmorgan.com/emaildisclaimer and <https://www.jpmm.com/research/content/GPS> including on confidentiality, legal privilege, viruses and monitoring of electronic messages. If you are not the intended recipient, please delete this message and notify the sender immediately. Any unauthorized use is strictly prohibited.*

Access to any conference calls, meetings or events linked above will be, where relevant, subject to availability. These events are not suitable for retail clients but are intended for professional and institutional clients only. Equally, these events are not accessible to J.P. Morgan corporate clients, including their management teams and investor relations contacts. Some of the events referenced above will only be available to and can only be attended by High Touch clients who have subscribed to certain J.P. Morgan research packages. Any research analyst meetings will be charged for in accordance with the research pricing we have agreed with you. All materials and information shared with you are, unless otherwise indicated to you, proprietary and confidential to J.P. Morgan. You are hereby notified that any disclosure, dissemination, copying, distribution, or use of the information provided to you, in whole or in part, other than as expressly permitted by J.P. Morgan, is STRICTLY PROHIBITED. You are permitted to disclose the materials and information to your officers and employees on a need to know basis.

You agree that, unless expressly authorized in writing by J.P. Morgan to do otherwise, you will only access the J.P. Morgan Data available on the Services manually and you warrant and covenant that you will not access or allow or cause any third party to access or allow any access to J.P. Morgan Data by any automated means, whether by or through any script, robot, spider, remote software or any other retrieval means, and you will not attempt to upload, intercept, extract or otherwise collect and/or record the J.P. Morgan Data through any automated means. J.P. Morgan Data means: all reports, commentary, or information provided through the Services. Services means: individually and collectively, any and all data, statements, confirmations, information,

reports, tools or E-mail contained in, derived from, transmitted or related to on-line and other electronic systems, together with any related software, access or devices provided to you and/or any of your customers by or through J.P. Morgan. If you consider the facilitation component of any of these events to be a non-monetary benefit, please contact your normal J.P. Morgan sales advisor to discuss making a payment for this service which is unbundled from any research payment. The event is intended for J.P. Morgan clients only.

If you have any questions in this regard, please contact your normal J.P. Morgan representative. For further information in respect of non-research content please visit: <https://www.jpmm.com/research/content/GPS->. For disclosures and disclaimers in respect of research content please visit: <https://www.jpmm.com/research/content/GPS->.

© 2026 JPMorgan Chase & Co. All rights reserved. J.P. Morgan is a marketing name for businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide. JPMorgan Chase Bank N.A. (member of FDIC), J.P. Morgan Securities LLC (member of FINRA, NYSE and SIPC), J.P. Morgan Securities plc (member of the London Stock Exchange) and authorized by the Prudential Regulation Authority (PRA) and regulated by the Financial Conduct Authority and the PRA) and J.P. Morgan SE (authorized by the BaFin and regulated by the BaFin, the German Central Bank and the European Central Bank) are principal subsidiaries of JPMorgan Chase & Co. For legal entity and regulatory disclosures, visit: www.jpmorgan.com/disclosures. For additional regulatory disclosures, please consult: www.jpmorgan.com/disclosures.

*For details, please refer to **Section 8 – Trader Commentary** of the Global Communications Policy. <https://www.jpmm.com/research/content/GPS->*

Matthew See - Specialist Sales - APAC Market
Thematics ^{AC}
(44-20) 7134-0555
matthew.see@jpmorgan.com

Asia Pacific Specialist Sales
04 August 2026

J.P.Morgan

Completed 05 Aug 2026 12:51 AM BST

Disseminated 05 Aug 2026 12:51 AM BST